Farooqi, 65, a labour contractor who has been running more than 100 power looms for about 30 years.

- At Ahmedabad's New Cloth Market, trade had fallen by 80 per cent, according to Rajesh Agarwal, secretary of the market association. Sixty of his 80 embroidery workers had returned to their villages after notebandi (note ban). When sales dropped, his cash dried up – except exports, the revenues of which he received through a bank account – so he could not pay salaries. 'Workers, prefer to go temporarily jobless than endure the hassle of opening accounts in already stressed banks,' said Agarwal.[33]
- 'The worst impact is on the small and micro-exporters as they are mostly dependent on cash payments. They employ a fairly large number of people and serving them is critically important… In Tirupur, there are around 350 ATMs and 7 lakh people, so one can imagine what the situation would be. It will still take a lot of time for things to get settled,' said Vijayakumar, MD, CBC Fashions Asia P. Ltd., Tirupur.[34]

Small Manufacturers

There are many stories of how some other labour-intensive industries were affected by demonetization. Employing millions of workers, these micro and small industries were starved of working capital and forced out of business.

A survey conducted by the All India Manufacturers Organization (AIMO),[35] representing more than 3,00,000 industries engaged in manufacturing and export activities, showed that post-demonetization there was a 35 per cent drop in employment and 50 per cent drop in revenues. AIMO stated that *almost all industrial activities have stopped*, with the small and medium-sized enterprises being worst affected.

Leather Manufacturers and Tanneries